Decision Memo: Gross Margin Decline, Q1 → Q3 2026

To: Commercial Committee · **From:** Ogunlusi Teniola Elizabeth, Data Analyst · **Meeting:** Monday [date] · **Date:** 17 October 2026
Status: v1 · reconciled to Finance's control totals (see `reconciliation.md`)

Bottom line

Gross margin fell from 33.3% in Q1 to 19.6% in Q3. In naira, Q3 earned ₦749.7M of gross profit against ₦1,726.9M in Q1: ₦977.2M less (−57%). Six distributor customers account for ₦572.2M of that (59%).

Decisions requested

#	Decision	Recommendation
1	Discount rules	Cap discounts at 5% for the six deep-discount accounts, unless approved by name
2	Distributor sweeteners	Set a minimum margin (8% suggested), after Finance supplies freight and warehousing cost per kg
3	Price list	Raise non-distributor prices +5% now, and review monthly against the exchange rate
4	Distributors	Find out *why* they stopped buying 17 of their 20 products before committing to any win-back plan

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What changed

1. **Six distributors changed what they buy (₦572.2M).** Since 1 July they buy only sweeteners: three products (Maltodextrin, Sorbitol 70%, Dextrose Monohydrate) instead of the 20 they bought in Q1. Their orders rose from 47 to 175 and their kilos from 223k to 682k, but their margin fell from 33.3% to 3.1%.
2. **The naira weakened faster than we repriced.** The rate moved from ₦1,480 to ₦1,720 per dollar between January and September. Our supplier costs are in dollars. FX added

₦347.0M of cost; list-price increases recovered ₦185.8M; the net loss is ₦161.2M.

3. **Discounts deepened in July.** Six Bakery and Confectionery customers (C007, C019, C033, C061, C062, C063) went from an average 3.1% discount in Q1 to 11.6% in Q3. Discounts cost ₦69.8M of margin on these accounts, and their total margin fell ₦193.2M.
4. **Some sales are now below cost.** 142 order lines in Q3 (₦146.8M of revenue) earned a negative margin; none did before July. 66 are distributor lines, 49 deep-discount accounts and 27 other customers.
5. **Supplier cost increases (minor).** Two products (P03, P04) rose 9.0% on 1 June, costing ₦26.5M.

What it cost, in naira (Q3 vs Q1 gross profit)

Driver	₦M
Volume and product mix (mostly the distributor shift)	−716.4
FX raising dollar costs	−347.0
Naira list-price increases	+185.8
Discounts	−73.1
Supplier cost increases	−26.5
Total	**−977.2**

By customer group: Distributors −572.2 · Deep-discount accounts −193.2 · All other customers −211.8.

When it slipped

- **Jan–Feb:** stable at 33.3–33.6% (excluding distributors).
- **Mar–May:** a steady drift down to 31.5%, the exchange rate moving while prices stood still.
- **June:** a step to 28.9% (supplier cost increases and another FX move).
- **July:** the break. Distributors switch to sweeteners and the deep discounts begin; total margin falls to 21.5%, then 19.0% and 17.9%.

Is Q1 a fair reference? As the budget and board baseline, yes. As a run-rate, no: margin was already easing in March, and Q1's exchange rate (₦1,480–1,520) no longer exists, so Q1 prices cannot produce 33% at today's ₦1,720. January–February is the cleaner

"undisturbed" baseline.

Options and likely impact

Option	Impact per quarter*	Main risk	Confidence it helps
1. Cap discounts at 5% for the six accounts	+₦54M if volume holds (+₦30M at an 8% cap). Still pays off unless they lose more than about 28% of volume	Losing the accounts	~80%
2. Minimum 8% margin on distributor sweeteners (+5.3% on price)	+₦50M if volume holds. If they walk, we lose ₦30M of margin	Gross margin excludes freight and warehousing; at 682k kg this may be loss-making in reality	~70%
3. Price list +5% (non-distributor), reviewed monthly against FX	+₦57M to +₦144M (volume loss 10% → 0%). At +8%: +₦135M to +₦230M	We cannot measure price sensitivity from this data	~70%
4. Win back distributors' 17 other products	Their Q1 margin on those lines was ₦597M a quarter; recovering a quarter of it is about ₦150M (*a scenario, not a forecast*)	Cause unknown	Cannot say yet

Options 1 to 3 together are roughly **₦150–250M a quarter**, about 15–25% of the ₦977M gap (they overlap, so they do not add exactly). **Closing the rest depends on option 4, the lever we understand least.** The exchange-rate table ends in September; a further naira fall pushes distributor sweeteners below cost.

*Indicative estimates calculated at the Q3 run-rate from the same cleaned data. They are not produced by the SQL files and assume volume holds or falls 5–10%.

How sure am I

	Confidence

Statement	
The numbers are right (reconciled to Finance, Q1 and Q3, to the decimal)	~95%
The distributor shift is real behaviour, not another data error	~85%
FX outrunning price explains most of the slide outside the distributors	~80%
The deep discounts did not retain volume	~80%
Why the distributors changed	**Under 50%** (not in the data)

What I would check next (before Monday)

1. **Sales ops:** is there a July contract, promotion or pricing deal with the six distributors on sweeteners?
2. **Account owners:** did the distributors move their other 17 products to a competitor?
3. **Commercial:** who approved the 10–13% discounts, and on what evidence?
4. **Finance and logistics:** freight and warehousing cost per kg, to test whether sweeteners lose money after delivery.
5. **Warehouse:** confirm bag products have been recorded in bags since 1 May.
6. **IT:** confirm the jump in distributor orders (47 to 175) is genuine.
7. **Finance:** confirm the 142 below-cost lines in Q3 were intended.

Scope and limits

- Gross margin follows Finance's definition: **freight, duty and warehousing are excluded.**
- Q1 and Q3 are reconciled to Finance. **Q2 has no Finance control total** and is not independently reconciled.
- This analysis shows *what* changed and *when*, not *why*.
- The 1 May date for the bag-unit recording change is proven from the data, not yet confirmed by the warehouse.

Supporting documents

`definitions_and_assumptions.md · data_quality_log.md · reconciliation.md ·`

`../README.md` · `../sql/` (files 01 to 05)